

Amazon.com, Inc.
AMZN NASDAQ

Buy **\$247.64 ▼ 0.31%** 12M Price Target **\$295.00** 52-Week Range **\$196.00 – \$287.20**

Market Cap
\$2.67T

AMZN: Wage Hike Signals Labor Pressure, But AWS Story Intact

WHAT HAPPENED

- Amazon bumped starting warehouse pay to \$20/hour (up \$1) — stock dipped a hair but this is more signal than shock. It tells you labor markets are still tight and Amazon's trying to get ahead of unionization drives + political heat before midterms. That's roughly \$1B+ in added annual comp costs, but they've been telegraphing it.
- Big unusual options activity is mixed — someone bought 8,657 puts at \$267.50 (bearish, betting on downside) AND 7,862 calls at \$232.50 (looks like someone selling downside protection or getting long). Translation: smart money is hedged, not directional. They're not sure which way this breaks near-term.

WHY IT MATTERS

The wage hike is a tell — Amazon rarely raises pay proactively unless (a) they need to compete with Walmart/Target who just did the same, or (b) they're worried about the NLRB and pro-labor Democrats making noise ahead of holiday season. This probably means Q4 operating margin guidance gets trimmed slightly on the next call, which is why you saw the stock leak lower on heavy volume the past three sessions. But here's the flip side: AWS is still the whole ballgame — if enterprise AI spend holds up (and every hyperscaler is saying it is), the wage news is noise. The insider selling cluster (CEO of Stores + SVP) at \$254-259 is worth noting — they sold near the top of the range, which usually means they don't see a near-term catalyst to chase.

POLICY & POLITICAL WATCH

Two big things on the radar: (1) The FTC's antitrust case against Amazon is grinding through discovery — a ruling on the motion to dismiss key claims is expected this fall, and if Amazon loses that, breakup risk (splitting AWS from retail) becomes a real 2027 story. (2) Tariff policy — the administration's expanded China tariffs directly hit third-party sellers who source from China (roughly 50%+ of Amazon marketplace goods). If tariffs escalate further, expect margin compression on the retail side and possibly slower GMV growth. On the tailwind side, federal AI infrastructure spending continues to flow to AWS via GovCloud contracts, which is a quiet but meaningful offset.

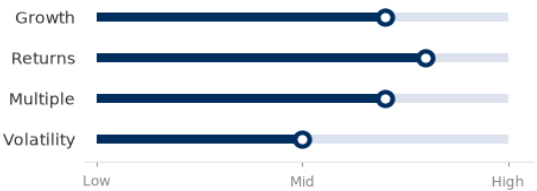
IS IT EXPENSIVE?

At ~36x forward earnings, you're paying \$36 for every \$1 of next year's profit — that's not cheap, but it's actually below Amazon's 5-year average of ~45x. The real question is EV/EBITDA at ~17x — meaning if you bought the whole company, it'd take 17 years of cash earnings to pay back. That's reasonable for a business where AWS alone grows 17-20% with 35%+ margins. Valuation isn't the reason to buy or sell here — the story is whether AWS keeps its AI momentum.

Key Data

Price (USD)	\$247.64
12M Price Target	\$295.00
Upside / (Downside)	+19.1%
Market Cap	\$2.67T
FY2026E Revenue	\$715M
FY2027E Revenue	\$790M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.20
Fwd P/E	36.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$265.00	\$252.00	\$235.00
6 Months	\$285.00	\$265.00	\$225.00
1 Year	\$320.00	\$295.00	\$215.00
2 Years	\$380.00	\$330.00	\$220.00
5 Years	\$550.00	\$425.00	\$250.00
10 Years	\$900.00	\$650.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+0.8% today) is bouncing after a rough week — AI infrastructure names catching a bid on continued enterprise spend commentary. Industrials strong on infrastructure bill implementation.

COOLING OFF: Consumer Discretionary is limp (+0.37%) — consumer is clearly softening, which is a subtle headwind for Amazon retail even if AWS carries the day.

ROTATION WATCH: Money is quietly moving from mega-cap tech into industrials and healthcare — defensive posture ahead of Q4. That's why AMZN can't catch a real bid despite good fundamentals.

RELATED PLAY: If you like the AWS AI thesis but want less antitrust risk, the data center REITs (EQIX, DLR) and power infrastructure names (VRT, ETN) are the picks-and-shovels play — they win regardless of which hyperscaler wins.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Azure AI narrative cleaner than AWS, no antitrust overhang of the same magnitude, and enterprise Copilot revenue actually showing up
- WMT (Walmart): Eating into Amazon's grocery and low-end retail share, and their ad business is growing faster off a smaller base

AMZN CONTEXT: Amazon is lagging MSFT and GOOGL over the past month — the market is discounting it for antitrust risk and slower retail. That's actually the opportunity if you have a 12+ month horizon, because the AWS + ads story is arguably the strongest of the three when you strip out the noise.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the long-term setup but near-term catalysts are murky and insider selling gives me pause

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a trade. Big enough to matter, small enough that antitrust headlines don't ruin your year

ENTRY POINTS: Add in the \$235-245 zone — the stock has bounced from there multiple times this year. If it breaks \$230, wait for it to stabilize before adding more

TIME HORIZON: 12-24 months — the catalyst is 2027 AWS revenue reflecting all this AI capex, plus antitrust case resolution

WHEN TO BAIL: If AWS growth prints below 15% two quarters in a row, or if the FTC gets a structural remedy win, reassess immediately

HEDGING: Simplest hedge — buy some longer-dated puts (Jan 2027, \$230 strike) as insurance. Costs you a little each year but sleeps-at-night protection if antitrust gets ugly